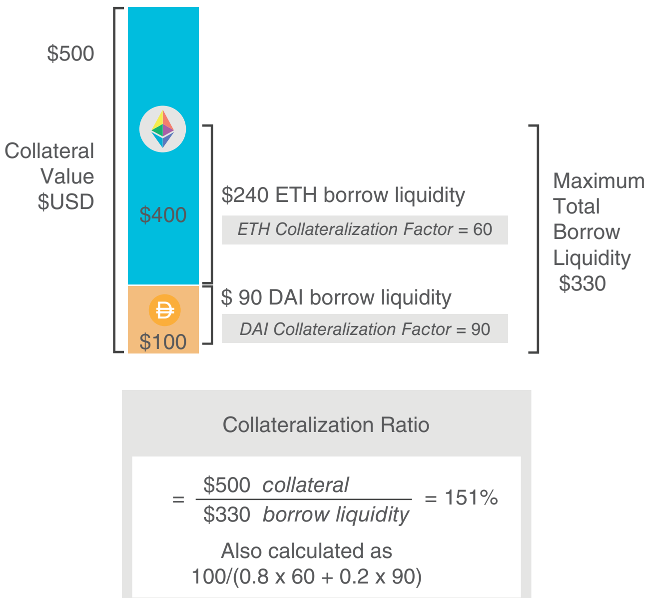

Figure 6.2 Collateralization Ratios in Compound

The formula for the borrow rate generally is an increasing linear function with a y intercept known as the *base rate* that represents the borrow rate at 0 percent borrow demand and a *slope* that represents the rate of change of the rates. These parameters are different for each ERC-20 asset supported by the platforms. Some markets have more advanced formulas that include a *kink*, which is a utilization ratio beyond which the slope steepens. These formulas can be used to reduce the cost of borrowing up to the kink and then increase the cost of borrowing after the kink to incentivize a minimum level of liquidity.

The supply interest rate is the borrow rate multiplied by the utilization ratio so that borrow payments can fully cover the